# Centrus Energy (LEU)
## Only US HALEU Producer

Centrus Energy screens as a Buy with a $138.45 blended target, 26% above the current price.

**Analyst: Justin Wen**

| BUY | $138.45 | +26% | $109.88 |
|---|---|---|---|
| INVESTMENT RATING | BLENDED TARGET | BLENDED UPSIDE | REFERENCE PRICE |

Only US HALEU Producer. Centrus runs the only NRC-licensed HALEU production in the US, backed by a $900M DOE award [Q2 PR]. Three of four advanced reactors reaching criticality ran on its fuel [Q2 call]. That is a genuine chokepoint in the SMR supply chain. Contracted Growth. $4.5B backlog through 2040 with definitive deals from X-energy, Radiant, and Antares Nuclear that include customer prepayments [8-Ks]. Demand is contracted; the job now is building the cascades to deliver it. Pessimism Priced In. At $114.94 [M

## The latest print

**Contracted Growth.** $4.5B backlog through 2040 with definitive deals from X-energy, Radiant, and Antares Nuclear that include customer prepayments. Demand is contracted; the job now is building the cascades to deliver it.

**Pessimism Priced In.** At $114.94, the market implies a 1% revenue CAGR, below our 5% bear case. DCF base $134.22 implies 17% upside. The stock is down 53% YTD mostly on dilution fears, not demand loss.

| $176.1M | $49.9M | $16.8M | $1.77 | $4.5B | $450-500M |
|---|---|---|---|---|---|
| REVENUE (Q2 2026) | GROSS PROFIT (Q2) | NET INCOME (Q2) | ADJ EPS (Q2) | BACKLOG (THRU 2040) | FY2026 REVENUE GUIDE |

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Centrus Energy Corp. valuation framework

## Key metrics in detail

| METRIC | LATEST | VS YEAR AGO | TREND |
|---|---|---|---|
| **Revenue (Q2 2026)** | $176.1M | +14.0% | Up |
| **Gross Profit (Q2)** | $49.9M | n/a | Up |
| **Net Income (Q2)** | $16.8M | -41.9% | Down |
| **Adj EPS (Q2)** | $1.77 | -6.8% | Down |
| **Backlog (thru 2040)** | $4.5B | n/a | Up |
| **FY2026 Revenue Guide** | $450-500M | ~+5% | Flat |
| **FY2026 Capex Guide** | $350-500M | n/a | Up |

## The moat

$900M DOE HALEU task order signed July 2026, funding 12 MT/year of capacity

## The growth engine

Definitive HALEU supply deals with X-energy, Radiant, Antares Nuclear, all with customer prepayments

## Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

| SCENARIO | WEIGHT | 2026-30 CAGR | 2030 REVENUE | 2030 EBIT MARGIN | TARGET | UPSIDE |
|---|---|---|---|---|---|---|
| **Bear** | 25% | 5.0% | $577M | 31.6% | **$93.07** | -15% |
| **Base** | 50% | 12.0% | $747M | 36.4% | **$135.44** | +23% |
| **Bull** | 25% | 18.0% | $921M | 41.7% | **$189.84** | +73% |

**Bear:** downside case at $93.07 (-15%).

**Base:** central case at $135.44 (+23%).

**Bull:** upside case at $189.84 (+73%).

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# The probability-blended target implies 26% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +26% from the $109.88 reference price.

**$138.45**
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

| | |
|---|---|
| Revenue base (2025E) | **$475M** |
| Valuation horizon | **2026-2030** |
| Live WACC | **8.24%** |
| Terminal growth | **2.5%** |
| Net cash | **$700M** |
| 2030 FCF (Base) | **$170M** |
| 10-year Treasury yield | **5.1%** |
| Beta | **1.39** |
| Equity risk premium | **3.4%** |

**BUY | $138.45 blended target | Wen**

## The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is -1.0%. below Bear case (5%) — pessimistic

## Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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| CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price |
|---|---|---|---|---|---|---|---|---|
| -10% | $1.1B | $88.02 | +10% | $2.2B | $145.68 | +30% | $4.1B | $242.88 |
| -9% | $1.1B | $90.18 | +11% | $2.3B | $149.49 | +31% | $4.3B | $249.04 |
| -8% | $1.1B | $92.39 | +12% | $2.4B | $153.39 | +32% | $4.4B | $255.34 |
| -7% | $1.2B | $94.68 | +13% | $2.4B | $157.40 | +33% | $4.5B | $261.78 |
| -6% | $1.2B | $97.04 | +14% | $2.5B | $161.51 | +34% | $4.7B | $268.37 |
| -5% | $1.3B | $99.47 | +15% | $2.6B | $165.72 | +35% | $4.8B | $275.10 |
| -4% | $1.3B | $101.98 | +16% | $2.7B | $170.04 | +36% | $4.9B | $281.97 |
| -3% | $1.4B | $104.56 | +17% | $2.8B | $174.48 | +37% | $5.1B | $289.00 |
| -2% | $1.4B | $107.21 | +18% | $2.9B | $179.02 | +38% | $5.2B | $296.17 |
| **-1%** | **$1.5B** | **$109.95** | +19% | $3.0B | $183.67 | +39% | $5.4B | $303.50 |
| +0% | $1.5B | $112.77 | +20% | $3.1B | $188.44 | +40% | $5.5B | $310.98 |
| +1% | $1.6B | $115.66 | +21% | $3.2B | $193.33 | +41% | $5.7B | $318.63 |
| +2% | $1.7B | $118.64 | +22% | $3.3B | $198.34 | +42% | $5.8B | $326.43 |
| +3% | $1.7B | $121.71 | +23% | $3.4B | $203.46 | +43% | $6.0B | $334.40 |
| +4% | $1.8B | $124.86 | +24% | $3.5B | $208.71 | +44% | $6.1B | $342.53 |
| +5% | $1.9B | $128.10 | +25% | $3.6B | $214.08 | +45% | $6.3B | $350.82 |
| +6% | $1.9B | $131.43 | +26% | $3.7B | $219.58 | +46% | $6.5B | $359.29 |
| +7% | $2.0B | $134.85 | +27% | $3.8B | $225.21 | +47% | $6.6B | $367.93 |
| +8% | $2.1B | $138.37 | +28% | $3.9B | $230.97 | +48% | $6.8B | $376.74 |
| +9% | $2.1B | $141.98 | +29% | $4.0B | $236.86 | | | |

## Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

| SCENARIO | ENTERPRISE VALUE | EXIT EV/ FCF | TERMINAL GROWTH | PLUS: NET CASH | EQUITY VALUE | TARGET |
|---|---|---|---|---|---|---|
| **Bear** | $1.16B | — | 2.5% | $700M | $1.86B | **$93.07** |
| **Base** | $2.00B | — | 2.5% | $700M | $2.70B | **$135.44** |
| **Bull** | $3.09B | — | 2.5% | $700M | $3.79B | **$189.84** |

## Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

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| SCENARIO | 2026 | 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|
| **Bear** | $100.74 | $100.74 | $125.34 | $139.18 | $148.67 | $155.85 |
| **Base** | $146.60 | $146.60 | $174.00 | $191.02 | $203.31 | $212.56 |
| **Bull** | $205.48 | $205.48 | $236.66 | $257.73 | $273.65 | $285.70 |

*Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $138.45 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.*

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# The franchise deep dive

$900M DOE HALEU task order signed July 2026, funding 12 MT/year of capacity

Definitive HALEU supply deals with X-energy, Radiant, Antares Nuclear, all with customer prepayments

Only NRC-licensed US HALEU producer; 3 of 4 advanced reactors hitting criticality ran on its fuel

$4.5B backlog through 2040 ($3.7B LEU, $0.8B Technical Solutions)

## Revenue and margin trend

| METRIC | FY22 | FY23 | FY24 | FY25 | TTM |
|---|---|---|---|---|---|
| **Revenue** | $293.8M | $320.2M | $442.0M | $448.7M | $473.9M |
| **Net Margin** | 17.8% | 26.4% | 16.6% | 17.3% | 10.2% |
| **Free Cash Flow** | $19.9M | $7.5M | $32.9M | $31.3M | n/a |

## Valuation cross-check

P/E (TTM) 29.2x

DCF Base $134.22

PEG 2.87

DCF implies 17% upside but 29x P/E is full for lumpy, government-tied earnings.

Uranium peer multiples not sourced

Scored neutral pending peer data.

52wk high $464.25

YTD -53%

Trading far below historical levels; the market prices below our bear case.

## What to monitor

**Nov 4, 2026.** Q3 2026 Earnings (Two-Sided): EPS est $0.01, revenue est $65.3M. Quarterly revenue is lumpy; the number to watch is backlog conversion.

**End 2026.** Oak Ridge Milestone (Positive): First new centrifuge completion at Oak Ridge, TN. De-risks the capacity build-out.

**2027-2030.** HALEU Commercial Ramp (Positive): X-energy, Radiant, Antares contracts with customer prepayments start delivering toward 2030.

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## Financial summary: income statement

| YEAR | REVENUE | GROSS PROFIT | OPERATING INCOME | EBITDA |
|---|---|---|---|---|
| **2022** | $294M | $118M | $60M | $78M |
| **2023** | $320M | $112M | $52M | $93M |
| **2024** | $442M | $112M | $48M | $86M |
| **2025** | $449M | $118M | $50M | $110M |

## Balance sheet

| YEAR | TOTAL ASSETS | TOTAL LIABILITIES | TOTAL EQUITY | CASH |
|---|---|---|---|---|
| **2022** | $706M | $780M | $-74M | $180M |
| **2023** | $796M | $764M | $32M | $201M |
| **2024** | $1.1B | $932M | $161M | $671M |
| **2025** | $2.4B | $1.7B | $765M | $2.0B |

## Cash flow

| YEAR | OPERATING CF | CAPEX | FINANCING CF | FREE CF |
|---|---|---|---|---|
| **2022** | $21M | $-700,000.00 | $-4M | $20M |
| **2023** | $9M | $-2M | $14M | $8M |
| **2024** | $37M | $-4M | $437M | $33M |
| **2025** | $51M | $-20M | $1.2B | $31M |

*Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $138.45 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.*

CASE ANALYTICS

# Agency risk score 20 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 1.03% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $62.3K of sales, a net flow of -$62.3K. One-year total shareholder return is -70.8% against CEO total pay of $1.90M (Mr. Amir V. Vexler), which the model scores as SUB-OPTIMAL ALIGNMENT.

**20**

AGENCY RISK SCORE, OF 100

## The three components

| COMPONENT | SCORE | WHAT THE SITE SHOWS |
|---|---|---|
| **Insider Ownership (Skin in the Game)** | 8 / 40 | 1.03% of shares held by insiders |
| **Form 4 Flow (Conviction Flow)** | 0 / 30 | Buys $0 (0) vs sales $62.3K (1), net -$62.3K, trailing six months |
| **Pay-for-Performance** | 12 / 30 | SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -70.8%; Mr. Amir V. Vexler, President, CEO & Director, total pay $1.90M |
| **Agency Risk Score** | **20 / 100** | Regime: HIGH AGENCY RISK // VALUE TRAP |

## Recent Form 4 filings

| DATE | FILER | RELATION | TYPE | SHARES | VALUE |
|---|---|---|---|---|---|
| **2026-05-11** | Tinelli Todd M | Chief Financial Officer | SELL | 306 | $62.3K |

## SEC proxy audit, DEF 14A filed 2026-04-24

**Alignment grade A.** TOTAL PAY DECLINE (-38.7%). Amir V. Vexler, fiscal 2025 vs fiscal 2024; total compensation change year on year: -38.7%.

| BASE SALARY | STOCK AWARDS | NON-EQUITY INCENTIVE | OTHER COMPENSATION |
|---|---|---|---|
| **$810,000** | $269,996 | $980,100 | $114,261 |

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CEO reported compensation dropped 38.7% primarily because 2024 included a sizable sign-on equity grant of 20,000 RSUs alongside lower annual incentive payouts in 2025. Meanwhile, Centrus demonstrated explosive TSR performance (increasing from 288 to 1,050 on a $100 basis), driving Compensation Actually Paid up to $6.87M. Compensation shows disciplined grant-date discipline with high equity leverage tightly aligned to shareholder value creation.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1065059/000162828026027241/leu-20260424.htm

*Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.*

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## The bear case

### Dilution and Capital Intensity

~$500M equity and warrant offering in September 2026 diluted holders; FY2026 capex guide of $350-500M and negative model FCF through 2027 mean more funding needs are possible.

### Government Funding Dependence

The HALEU cascade work is government-funded; DOE chose not to extend the existing cascade contract. Awards and prepayments depend on federal budgets and policy priorities.

### Contingent Backlog

About $3.0B of the $4.5B backlog is contingent LEU and HALEU sales tied to the Piketon expansion ($2.4B definitized). Delays in the build-out push contracted revenue further out.

### Lumpy Revenue

Q1 2026 revenue was $76.7M vs Q2 at $176.1M. Shipment timing drives big swings, so any single quarter can miss badly and earnings are hard to model.

## The strengths

### Operating Quality

Genuine chokepoint asset: the only NRC-licensed US HALEU producer with a $900M DOE award. But economics are lumpy and thin: quarterly revenue swings 2x between quarters, net margins 10-17%, FCF margins single digits, and heavy capex ahead.

### Recent Trend

Stock down 53% YTD and 70% over 1 year, below the 200-day average (Strong Sell on daily MAs). Q2 beat on revenue and adj EPS but the stock fell on the $500M equity raise. Revenue growth is real but buried under dilution.

### Forward Growth

$4.5B backlog through 2040, DOE awards, and prepayment-funded HALEU deals give visible demand. But $3.0B of backlog is contingent on the Piketon expansion, and analyst estimates see revenue roughly flat through 2029. Growth is contracted, n

### Valuation

DCF base $134.22 implies 17% upside; the market prices a 1% CAGR, below our 5% bear case, so pessimism is priced in. But 29x TTM P/E is not cheap for lumpy government-dependent earnings, and dilution risk lingers.

## Cascadia scorecard

**Composite score 55: Fair.** Confidence Medium, as of 17-Oct-2026.

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| PILLAR | RATIONALE | SCORE |
|---|---|---|
| **Operating Quality** | Genuine chokepoint asset: the only NRC-licensed US HALEU producer with a $900M DOE award. But economics are lumpy and thin: quarterly revenue swings 2x between quarters, net margins 10-17%, FCF margins single digits, and heavy capex ahead. | 55 |
| **Recent Trend** | Stock down 53% YTD and 70% over 1 year, below the 200-day average (Strong Sell on daily MAs). Q2 beat on revenue and adj EPS but the stock fell on the $500M equity raise. Revenue growth is real but buried under dilution. | 40 |
| **Forward Growth** | $4.5B backlog through 2040, DOE awards, and prepayment-funded HALEU deals give visible demand. But $3.0B of backlog is contingent on the Piketon expansion, and analyst estimates see revenue roughly flat through 2029. Growth is contracted, not yet delivered. | 62 |
| **Valuation** | DCF base $134.22 implies 17% upside; the market prices a 1% CAGR, below our 5% bear case, so pessimism is priced in. But 29x TTM P/E is not cheap for lumpy government-dependent earnings, and dilution risk lingers. | 58 |
| **Catalysts & Risk** | Q3 earnings Nov 4 and the year-end Oak Ridge centrifuge milestone are near-term positives. HALEU prepayments fund the build without debt. Offset: dilution overhang from the September raise, DOE funding dependence, and contingent-backlog execution risk. Balanced, slightly positive. | 62 |

## Investment view

Q3 earnings on Nov 4 and the year-end Oak Ridge centrifuge completion are the near-term swing factors. A funded, on-schedule HALEU ramp would push toward the bull case ($188); further equity raises or DOE funding cuts would test the bear ($92).

**Investment view: Buy. The $138.45 blended target implies +26%, balancing the $93.07 / $135.44 / $189.84 Bear / Base / Bull outcomes.**

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